



Analyst: Charulata Gaidhani (022) 67141446

Q2FY20 Result Update @ Dalal & Broacha

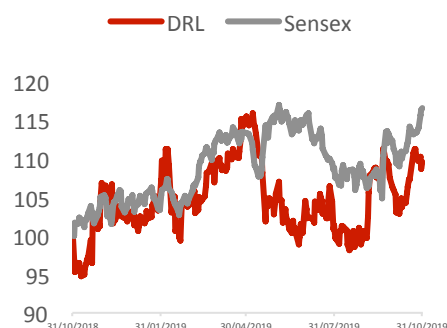
Buy on Dips

Current Price	2755
Target Price	3074
Upside/Downside	12%
52 Week Range	2965/2065

Key Share Data

Market Cap (Rs.bn)	457
Market Cap (US\$ bn)	6.47
No of o/s shares (mn)	166
Face Value	5
Monthly Avg.vol (BSE+NSE) Nos'000	250
BSE Code	500124
NSE Code	DRREDDY
Bloomberg	DRRD:IN

Price performance



% Shareholding	Jun-19	Jun-19
Promoters	26.76	26.76
FII	30.05	30.73
DII	13.71	13.71
Others	29.48	28.79
Total	100	100

Dr. Reddy's Q2FY20 results were in line with expectations, adjusted for one offs, upto EBITDA level. Growth in Global Generics was driven by non-US markets, with US markets facing challenges of Ranitidine recall and pricing pressure on some molecules.

License fee of Rs 7.2 bn from sale of marketing rights of neurology products, improved sequential performance of PSAI segment, impairment of 3 products relating to intangibles and tax benefit of Rs 3.3 bn were the one offs during the quarter.

The One offs Impact on the respective line items are as follows –

1. Revenue – The revenue includes License fee of Rs 7.2 bn from sale of marketing rights of neurology products which improved sequential performance of PSAI segment
2. Selling, General and Administrative Expense (SG&A) – The Reported SG&A of Rs. 16,777 mn included a onetime impairment of 3 products namely Ramelteon, Tobramycin and Imiquimod amounting to Rs. 3,561 mn. Further, one offs pertaining to sale of brands to Upsher Smith and some more one offs not specified. However, the adjusted SG & A was sequentially lower.
3. PAT – The PAT was higher on account of onetime Tax benefit of Rs 3.3 bn, on account of change in tax rate.

Stable growth in Global Generics and PSAI despite challenges in US

Sales +26% yoy/+25% qoq Rs 48 bn, driven by Proprietary Products which includes license fee of Rs 7.2 bn for sale of US and select territory rights of 3 Neurology brands to Upsher Smith. Adjusted Sales were at Rs 40.8 bn in line with our estimate of Rs 40.3 bn. Global Generics (+7.5% yoy/_0.5% qoq) to Rs 32.8 bn. Growth driven by Europe (+44% yoy/+15% qoq Rs 2.7 bn), India (+9% yoy/+8% qoq Rs 7.5 bn), Russia (+12% yoy/+12% qoq Rs 5.8 bn) and ROW (-8% yoy/+18% qoq Rs 2.5 bn). US generics was flat yoy/-13% qoq at Rs 14.2 bn, lower than our estimate of Rs 16.9 bn.

Gross Profit (+32% yoy/+39% qoq Rs 27.6 bn). Gross margins at 57.5% (+250 bps yoy/+590 bps qoq). Adjusted for the one-offs, normalized gross profit margin is at 51.5% (-350 bps yoy/-20 bps qoq), in line with our estimate.

EBITDA adjusted for one offs Rs 8431 Vs1% lower to our estimate of Rs 8522, implying EBITDA margin of 20.7% (-204 bps yoy/+30 bps qoq).

Adjusted PBT Rs 4866 mn (-14% yoy/+1% qoq). Net tax includes a benefit of Rs. 3.3 billion; due to recognition of deferred tax assets of Rs. 5.2 billion, primarily related to the MAT credit. Adjusted PAT, presuming a 22% tax on PBT works out to Rs 3912 mn (-22% yoy/+25% qoq). Adjusted EPS for the quarter Rs 23.6, lower than our estimate of Rs26.5.

Outlook & Valuation

We believe Dr. Reddy's has significantly normalized its Global Generics business in the US, adjusting the impact of the Ranitidine recall. The company is progressing well in its focus markets namely US, India, Russia, Europe and ROW. The company expects to continue its PSAI growth in the coming quarters. We believe Dr. Reddy's US revenues should grow from Q3 onwards, with new launches and increased market shares. We believe the company will also grow in its focus markets including China.

At Rs 2755, Dr. Reddy's trades at 19x FY21E EPS of Rs 149. We recommend investors to BUY on Dips with a target price of Rs 3074.

Key Financials

Year	Net sales	% Growth	EBIDTA	OPM (%)	PAT	% Growth	EPS	PE (x)	RoE (%)	RoCE (%)
FY17	1,41,961.0	(8.8)	24,722.0	17.4	12,921.0	(39.4)	77.9	32.1	10.5	8.2
FY18	1,42,810.0	0.6	23,512.0	16.5	9,468.0	(26.7)	57.0	43.9	7.5	7.0
FY19	1,54,482.0	8.2	31,782.0	20.6	19,500.0	106.0	117.5	21.3	13.9	11.5
FY20E	1,71,142.1	10.8	36,917.1	21.6	22,149.5	13.6	133.4	18.8	13.6	12.4
FY21E	1,86,010.1	8.7	40,732.2	21.9	24,729.8	11.6	149.0	16.8	13.2	12.2



DALAL & BROACHA
STOCK BROKING PVT. LTD.

Analyst: Charulata Gaidhani (022) 67141446

Q2FY20 Result Update @ Dalal & Broacha

Quarterly Financials - Reported

Particulars	Q2FY20	Q1FY20	Q2FY19	% yoy	% qoq	H1FY20	H1FY19	% Change
Revenues	48010	38435	37978	26%	25%	86445	75185	15%
Gross Profit	27621	19859	20897	32%	39%	47480	41625	
GPM (%)	57.5%	51.7%	55.0%			54.9%	55.4%	
SG&A expenses	-16777	-12065	-12372			-28842	-24478	
R&D Expenses	-3662	-3609	-4120			-7271	-8277	
EBIDTA	14339	11343	8646	66%	26%	25682	16717	54%
EBIDTA (%)	29.9%	29.5%	22.8%			29.7%	22.2%	
Other Income	135	3759	641			3894	944	
EBIT	7317	7944	5046	45%	-8%	20888	11917	75%
Interest	231	393	625			624	2080	
Profit before tax	7548	8337	5671	33%	-9%	21512	13997	54%
Tax	3261	-1872	-742			1389	-4535	
Profit After tax before MI	10809	6465	4929			22901	9462	142%
Share of Profit	117	163	109			280	344	
Profit After Tax	10926	6628	5038	117%	65%	23181	9806	136%
NPM (%)	22.76%	17.24%	13.27%			26.82%	13.04%	
Equity	830	830	830			830	830	
EPS -(Rs)	65.82	39.93	30.35			113.22	59.07	

Key takeaways from the concall:

- US business was muted due to pricing pressure on some molecules, Ranitidine recalls and temporary supply disruptions. 8 new product launches in Q2FY20.
- PSAI revenues increased 18% yoy/+57% qoq to Rs 7.1 bn, growth mainly from increased volumes in existing products.
- Proprietary Products revenues include license fee of Rs 7.2 bn for sale of US and select territory rights of 3 Neurology brands to Upsher Smith. Excluding the license fee, revenue de-grew -37% yoy/-3% qoq to Rs 886 mn.
- SG & A (+36% yoy/+39% qoq Rs 16.7 bn) includes:
 - Impairment charge of Rs 3.6 bn on 3 products relating to intangibles (Ramelteon, Tobramycin and Imiquimod).
 - One offs pertaining to sale of brands to Upsher Smith and some more one offs not specified.
 - Adjusted SG & A sequentially lower.
- During Q2FY20, US revenues (\$202 mn) which includes:
 - Provision for Ranitidine recall. Entire impact of Ranitidine factored in Q2FY20 results.
 - Price erosion in some molecules and temporary distribution related issues in the US.
 - Regulatory penalties or payments.
 - Adjusting for the above, US revenues would be slightly lower than Q1FY20 levels (\$234 mn).
- Dr. Reddy's expects to benefit from Indivior's announcement relating to the withdrawal of authorized generics of Suboxone film in the US.
- The company expects to normalize US business from Q3FY20.
- India business increased 13% as per IQVIA data, better than the industry. The company launched 5 new launches during Q2FY20.
- Biosimilars Pipeline
 - Pegfilgrastim – the company has partnered up with Fresenius Kabi Oncology and completed Phase III trial for the product. Fresenius should be filing the BLA soon.
 - Rituximab Phase III trial progressing well.
 - Xenoport – Phase IIB studies completed. The company is working on progressing the trial ahead.
- The company will respond to the Complete Response Letter (CRL) on gNuvaring and gCopaxone, in 1-2 months. The CRL involved the conducting of certain product specific tests, which will be a part of the response.
- Dr. Reddy's expects to invite USFDA for inspection at its Srikakulam API plant in 1-2 months.
- Dr. Reddy's expects growth in China through branded generics as well as participation in the China pilot programme. The company recently received approval for Olanzapine, along with two local players and expects to commence supplies in 2-3 months.
- The company has 96 ANDAs pending USFDA approval, of which 55 are Para IV's and 31 first to files.



DALAL & BROACHA
STOCK BROKING PVT. LTD.

Analyst: Charulata Gaidhani (022) 67141446

Q2FY20 Result Update @ Dalal & Broacha

Dr Reddy's Laboratories Limited											
P&L (Rs mn)	FY17	FY18	FY19E	FY20E	FY21E	Cash Flow St. (Rs. mn)	FY17	FY18	FY19E	FY20E	FY21E
Net Sales	1,41,961.0	1,42,810.0	1,54,482.0	1,71,142.1	1,86,010.1	Net Profit	12,921.0	9,468.0	19,500.0	22,149.5	24,729.8
						Add: Dep. & Amort.	10,266.0	10,772.0	11,348.0	12,252.2	13,306.0
Raw materials	(34,449.0)	(40,395.0)	(44,948.0)	(48,697.8)	(51,198.0)	Cash profits	23,187.0	20,240.0	30,848.0	34,401.7	38,035.8
Employee costs	(31,068.0)	(32,149.0)	(33,562.0)	(36,918.2)	(40,610.0)	(Inc)/Dec in					
Other Expenses	(38,788.0)	(46,754.0)	(44,190.0)	(48,609.0)	(53,469.9)	-Sundry debtors	3,054.0	(2,500.0)	714.0	(5,244.6)	(3,990.4)
Selling Expenses	(12,934.0)	-	-	-	-	-Inventories	(2,949.0)	(561.0)	(4,490.0)	(2,602.3)	(3,192.3)
Cost of sales	(1,17,239.0)	(1,19,298.0)	(1,22,700.0)	(1,34,225.0)	(1,45,277.9)	-Loans/advances	(188.0)	58.0	(834.0)	(247.2)	(271.9)
Operating Profit	24,722.0	23,512.0	31,782.0	36,917.1	40,732.2	-Sundry creditors	1,501.0	2,776.0	326.0	1,005.0	753.5
Depreciation	(10,266.0)	(10,772.0)	(11,348.0)	(12,252.2)	(13,306.0)	-Others	(55.0)	(3,064.0)	3,636.0	832.8	902.1
PBIT	14,456.0	12,740.0	20,434.0	24,664.8	27,426.2	Change in working capital	1,363.0	(3,291.0)	(648.0)	(6,256.3)	(5,798.9)
Other income	1,715.0	1,552.0	3,375.0	3,712.5	4,083.8	CF from Oper. activities	24,550.0	16,949.0	30,200.0	28,145.4	32,236.8
Interest	(634.0)	(788.0)	(889.0)	(682.5)	(682.5)						
Profit before tax	15,537.0	13,504.0	22,920.0	27,694.8	30,827.4	CF from Inv. activities	(20,453.0)	(14,203.0)	(10,954.0)	(23,000.0)	(30,000.0)
Provision for tax	(2,965.0)	(4,380.0)	(3,858.0)	(6,092.9)	(6,782.0)						
PAT Bfr Excp Items	12,572.0	9,124.0	19,062.0	21,602.0	24,045.4	CF from Fin. activities	809.0	(3,589.0)	(22,647.0)	275.6	305.2
Share of Profit	349.0	344.0	438.0	547.5	684.4						
Net Profit	12,921	9,468	19,500	22,149	24,730	Cash generated/(utilised)	4,906.0	(843.0)	(3,401.0)	5,421.0	2,542.0
						Cash at start of the year	4,921.0	7,253.0	7,205.0	5,628.0	11,049.0
						Cash at end of the year	7,253.0	7,205.0	5,628.0	11,049.0	13,591.0
Balance Sheet	FY17	FY18	FY19E	FY20E	FY21E						
Equity capital	829.0	830.0	830.0	830.0	830.0	Ratios	FY17	FY18	FY19E	FY20E	FY21E
Reserves	1,21,792.0	1,24,886.0	1,39,406.0	1,61,555.5	1,86,285.2	OPM	17.4	16.5	20.6	21.6	21.9
Net worth	1,22,621.0	1,25,716.0	1,40,236.0	1,62,385.5	1,87,115.2	NPM	9.0	6.6	12.4	12.7	13.0
						Tax rate	(19.1)	(32.4)	(16.8)	(22.0)	(22.0)
Def. Tax Liab.+Minority Int.	1,620.0	1,950.0	473.0	520.3	572.3						
Secured loans	5,449.0	25,089.0	22,000.0	22,000.0	22,000.0						
Unsecured loans	43,626.0	25,562.0	12,125.0	12,125.0	12,125.0	Growth Ratios (%)					
Total debt	49,075.0	50,651.0	34,125.0	34,125.0	34,125.0	Net Sales	(8.8)	0.6	8.2	10.8	8.7
Other Liabilities	3,434.0	2,933.0	2,181.0	2,409.3	2,662.5	Operating Profit	(31.0)	(4.9)	35.2	16.2	10.3
CAPITAL EMPLOYED	1,76,750.0	1,81,250.0	1,77,015.0	1,99,440.1	2,24,475.0	PAT	(39.4)	(26.7)	106.0	13.6	11.6
Gross block	1,45,935.0	1,56,159.0	1,66,901.0	1,81,901.0	1,96,901.0						
Accumulated depreciation	(95,654.0)	(1,06,426.0)	(1,17,774.0)	(1,30,026.2)	(1,43,332.3)	Per Share (Rs.)					
Net block	50,281.0	49,733.0	49,127.0	51,874.8	53,568.7	Net Earnings (EPS)	77.9	57.04	117.5	133.4	149.0
Capital WIP	6,095.0	7,678.0	4,725.0	4,725.0	4,725.0	Cash Earnings (CPS)	139.8	121.9	185.8	207.2	229.1
Total fixed assets	56,376.0	57,411.0	53,852.0	56,599.8	58,293.7	Dividend	20.0	30.0	30.0	30.0	30.0
Intangible assets	41,413.0	41,643.0	42,734.0	42,734.0	42,734.0	Book Value	739.6	757.3	844.8	978.2	1,127.2
Goodwill	4,763.0	5,331.0	4,659.0	4,659.0	4,659.0	Free Cash Flow	24.7	16.5	115.9	31.0	13.5
Investments	21,097.0	22,983.0	25,871.0	33,871.0	48,871.0						
Other non current assets	1,568.0	1,280.0	1,138.0	1,138.0	1,138.0						
Inventories	28,528.0	29,089.0	33,579.0	36,181.3	39,373.6	Valuation Ratios					
Sundry debtors	38,196.0	40,696.0	39,982.0	45,226.6	49,217.0	P/E(x)	32.1	43.9	21.3	18.8	16.8
Cash & bank	7,253.0	7,205.0	5,628.0	11,049.0	13,591.0	P/B(x)	3.4	3.3	3.0	2.6	2.2
Loans & advances	1,696.0	1,638.0	2,472.0	2,719.2	2,991.1	EV/EBIDTA(x)	18.5	19.5	14.0	11.9	10.7
Other current assets	10,491.0	12,762.0	10,424.0	10,424.0	10,424.0	EV/SALES(x)	3.2	3.2	2.9	2.6	2.3
Sundry creditors	(10,569.0)	(13,345.0)	(13,671.0)	(14,676.0)	(15,429.5)	Div. Yield(%)	0.8	1.2	1.2	1.2	1.2
Acceptances	(4,647.0)	(4,617.0)	(5,537.0)	(6,090.7)	(6,699.8)	FCF Yield(%)	1.0	0.7	4.6	1.2	0.5
Provisions	(5,967.0)	(5,204.0)	(5,582.0)	(5,861.1)	(6,154.2)						
Working capital	44,749.0	47,197.0	44,444.0	56,121.3	64,462.3	Return Ratios (%)					
Deferred tax assets	6,784.0	5,405.0	4,317.0	4,317.0	4,317.0	ROE	10.5	7.5	13.9	13.6	13.2
CAPITAL DEPLOYED	1,76,750.0	1,81,250.0	1,77,015.0	1,99,440.1	2,24,475.0	ROCE	8.2	7.0	11.5	12.4	12.2

**DALAL & BROACHA**
STOCK BROKING PVT. LTD.

Analyst: Charulata Gaidhani (022) 67141446

Q2FY20 Result Update @ Dalal & Broacha**Disclaimer**

Dalal & Broacha Stock Broking Pvt Ltd, hereinafter referred to as D& B (CIN_U67120MH1997PTC111186) was established in 1997 and is an integrated financial services player offering an extensive range of financial solutions and services to a wide spectrum of customers with varied needs ranging from equities to mutual funds to depository services.

D&B is a corporate trading member of Bombay Stock Exchange Limited (BSE), National Stock Exchange of India Limited (NSE). D&B along with its affiliates offers the most comprehensive avenues for investments and is engaged in the securities businesses including stock broking (Institutional and retail), depository participant, portfolio management and services rendered in connection with distribution of primary market issues and financial products like mutual funds, fixed deposits. Details of associates are available on our website i.e. www.dalal-broacha.com

D&B is registered as Research Analyst with SEBI bearing registration Number INH000001246 as per SEBI (Research Analysts) Regulations, 2014.

D&B hereby declares that it has not defaulted with any stock exchange nor its activities were suspended by any stock exchange with whom it is registered in any time in the past. It has not been debarred from doing business by any Stock Exchange / SEBI or any other authorities; nor has its certificate of registration been cancelled by SEBI at any point of time.

SEBI and Stock Exchanges have conducted the routine inspection and based on their observations have issued advice letters or levied minor penalty on D&B for certain operational deviations in routine course of business.

D&B offers research services to clients as well as prospects. The analyst for this report certifies that all of the views expressed in this report accurately reflect his or her personal views about the subject company or companies and its or their securities, and no part of his or her compensation was, is or will be, directly or indirectly related to specific recommendations or views expressed in this report.

Other disclosures by D&B (Research Entity) and its Research Analyst under SEBI (Research Analyst) Regulations, 2014 with reference to the subject company(s) covered in this report:-

D&B or its associates may have financial interest in the subject company.

D&B or its associates do not have any material conflict of interest in the subject company.

The Research Analyst or Research Entity (D&B) has not been engaged in market making activity for the subject company.

D&B or its associates may have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report.

Disclosures in respect of Research Analyst:

Whether Research Analyst or his/her relatives have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report:	No
Whether the Research Analyst or his/her relative's financial interest in the subject company.	No
Whether the research Analyst has served as officer, director or employee of the subject company	No
Whether the Research Analyst has received any compensation from the subject company in the past twelve months	No
Whether the Research Analyst has managed or co-managed public offering of securities for the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for investment banking or	No

**DALAL & BROACHA**
STOCK BROKING PVT. LTD.**Analyst:** Charulata Gaidhani (022) 67141446**Q2FY20 Result Update @ Dalal & Broacha**

merchant banking or brokerage services from the subject company in the past twelve months	
Whether the Research Analyst has received any compensation for products or services other than investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation or other benefits from the subject company or third party in connection with the research report	No

D&B and/or its affiliates may seek investment banking or other business from the company or companies that are the subject of this material. Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients that reflect opinions that are contrary to the opinions expressed herein, and our proprietary trading and investing businesses may make investment decisions that may be inconsistent with the recommendations expressed herein.

In reviewing these materials, you should be aware that any or all of the foregoing, among other things, may give rise to real or potential conflicts of interest including but not limited to those stated herein. Additionally, other important information regarding our relationships with the company or companies that are the subject of this material is provided herein. This report is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject D&B or its group companies to any registration or licensing requirement within such jurisdiction. Specifically, this document does not constitute an offer to or solicitation to any U.S. person for the purchase or sale of any financial instrument or as an official confirmation of any transaction to any U.S. person. Unless otherwise stated, this message should not be construed as official confirmation of any transaction. No part of this document may be distributed in Canada or used by private customers in United Kingdom. All material presented in this report, unless specifically indicated otherwise, is under copyright to D&B. None of the material, nor its content, nor any copy of it, may be altered in any way, transmitted to, copied or distributed to any other party, without the prior express written permission of D&B. All trademarks, service marks and logos used in this report are trademarks or registered trademarks of D&B or its Group Companies. The information contained herein is not intended for publication or distribution or circulation in any manner whatsoever and any unauthorized reading, dissemination, distribution or copying of this communication is prohibited unless otherwise expressly authorized. Please ensure that you have read "Risk Disclosure Document for Capital Market and Derivatives Segments" as prescribed by Securities and Exchange Board of India before investing in Indian Securities Market. In so far as this report includes current or historic information, it is believed to be reliable, although its accuracy and completeness cannot be guaranteed.

Contact	Email ID	Contact No.	Sector
Mr. Kunal Bhatia	kunal.bhatia@dalal-broacha.com	022 67141442	Auto, Auto Ancillary, FMCG
Ms. Charulata Gaidhani	charulata.gaidhani@dalal-broacha.com	022 67141446	Pharma /Healthcare
Ms. Abhilasha Satale	abhilasha.satale@dalal-broacha.com	022 67141439	Midcaps
Mr. Avinash Tanawade	Avinash.tanawade@dalal-broacha.com	022 67141449	Banking & Finance
Mr. Suraj Nandu	suraj.nandu@dalal-broacha.com	022 67141438	Associate
Ms. Nidhi Babaria	Nidhi.babaria@dalal-broacha.com	022 67141450	Associate
Mr. Tanush Mehta	tanush.mehta@dalal-broacha.com	022 67141432	Associate

Address: - 508, Maker Chambers V, 221 Nariman Point, Mumbai 400 021 Tel: 91-22- 2282 2992, 2287 6173 Fax: 91-22-2287 0092 E-mail: research@dalalbroachaindia.com, equity.research@dalal-broacha.com